Question #1 of 39

Question ID: 1586458

Which of the following statements regarding Standard II(A), Material, Nonpublic Information, is *least* accurate?

A) If you receive the information in a public forum, it has been disseminated, and you can trade on it.

B) Material, non-public information regarding a tender offer may not be traded on.

C) Information received from an insider who is not breaching his fiduciary responsibility may be traded on.

Explanation

If the information is material and nonpublic, the Member or Candidate cannot trade or cause others to trade. It does not matter if the insider did not breach his fiduciary responsibility. The inside information is still material and nonpublic.

(Module 42.3, LOS 42: II(A))

Question #2 of 39

Question ID: 1586460

Carl Weather, CFA, is the chief financial officer of Talbot Enterprises. Based on inside information about Talbot's favorable prospects, Weather concludes that Talbot's common stock price is substantially undervalued in the market. With the approval of Talbot's Board of Directors, Weather announces a program for his firm to repurchase $100 million of its own stock in the market. Talbot's stock price rises immediately after the announcement of the repurchase program.

Reese Winter, a CFA Institute member, is Weather's assistant. While waiting in Weather's office, Winter reads an internal memo marked "confidential" from Talbot's chief accountant to Weather. The memo states that Talbot sustained an unexpected substantial profit during the past quarter, and its earnings projections show a substantial increase compared with previous estimates. Winter uses her cell phone to call her brother and discloses this information to him. Her brother immediately buys 1000 shares of Talbot's stock.

Did the actions of Weather and Winter violate Standard II(A): Material Nonpublic Information?

Weather	Winter

A) Yes	Yes	✗
B) No	Yes	✓
C) Yes	No	✗

Explanation

Weather did not violate Standard II(A) because this prohibition applies to recipients who are not directly or indirectly associated with the firm the material nonpublic information is about. As a corporate insider, Weather can use insider information to benefit his firm's shareholders. Winter violated Standard II(A) because the information is both material and nonpublic and she is required not to trade or cause others to trade on the information.

(Module 42.3, LOS 42: II(A))

Question #3 of 39

Question ID: 1586444

Greg Allen is a security analyst and visits David Dawson, the Chief Financial Officer of Edmonds Company. Dawson reveals a great deal of nonmaterial financial data to Allen, data that Dawson routinely reveals to all security analysts who visit him. From this data and other industry information, Allen conjectures that Edmonds is likely to make a tender offer for another company in the industry, a fact that if true would be considered material to the value of the company. Allen:

A) can publish his conclusion in a research report. ✓

B) should send a copy of the report to Dawson for verification before disseminating the report to clients. ✗

C) must not disseminate the information or use it for trading purposes until the tender offer is announced. ✗

Explanation

Releasing information to analysts does not constitute a public release of information. Dawson's information should be considered nonpublic until it is released to the public. Allen has used this information, along with other industry information, to come to his conclusion of a pending tender offer which he can use to trade upon based on the mosaic theory.

(Module 42.3, LOS 42.b)

Question #4 of 39

Question ID: 1586455

Chuck Thomas is the trustee of a trust of which Jill Wyatt is the main beneficiary. Wyatt's husband is the president of a company. In emptying the recycling bin at home, Wyatt finds some papers that lead her to believe that her husband's company will make a tender offer to acquire another firm. Wyatt takes the information to Thomas, who uses it to purchase shares of the company for the trust, but does not further disclose the information. Thomas has:

A) not violated any Standards.

B) violated the Standards concerning material nonpublic information.

C) violated the Standards concerning loyalty, prudence, and care.

Explanation

Thomas cannot act or cause others to act on material nonpublic information.

(Module 42.3, LOS 42.b)

Hunter Harrison, CFA, is president and chief investment officer (CIO) of Ironclad Investments, an investment adviser and pension consultant for medium and large corporate pension clients. Ironclad recently hired a compliance officer to update its compliance manual, which follows the CFA Institute Code and Standards. Harrison serves as a director on several non-profit and corporate boards of directors, some of which have their pension assets managed by Ironclad. Harrison oversees Ironclad's research analysts and portfolio managers, including Michelle Myers, who passed Level II of the CFA examination last year and plans to sign up for next year's Level III exam as soon as registration opens. Myers is a portfolio manager who regularly meets with clients and prospects. Myers is also a partner in a software company that sells retirement and benefit administration services to institutional clients, some of which are also clients of Ironclad. During her correspondence with prospects and clients, Myers includes reference to her status as a "Level III CFA candidate" in her biographical background to increase her prominence in the industry.

Question #5 - 10 of 39

Question ID: 1586470

Regarding Myers' references of her status as a candidate in the CFA program, what Standard governs these actions and is she in compliance?

A) **Standard VII**: Responsibilities as a CFA Member or CFA Candidate. **Compliance**: No.

B) **Standard I**: Professionalism. **Compliance**: No.

C) **Standard III**: Duties to Clients. **Compliance**: No.

Explanation

The actions of Myers are covered under Standard (VII)—Responsibilities as a CFA Member or CFA Candidate. Standard VII(B)—Reference to CFA Institute, the CFA designation, and the CFA Program requires that CFA candidates appropriately reference their participation in the CFA program, clearly stating their candidate status and not implying the achievement of any type of partial designation. Importantly, to be considered a candidate an individual must be registered to take the next scheduled exam.

(Module 42.3, LOS 42: II(A))

Question #6 - 10 of 39

Question ID: 1586471

All of the following *most likely* apply to Myers' participation as a partner in the software company EXCEPT:

A) Standard VI(B) - Priority of Transactions. ✔

B) Standard VI(A) - Disclosure of Conflicts. ✘

C) Standard III(E) - Preservation of Confidentiality. ✘

Explanation

Standard VI(B)—Priority of Transactions *most likely* does not apply to Myers' participation in the software company. Standard VI(B) covers priority over transactions in securities or other investments for clients and employers to prevent any instances of "front-running" for the benefit of the member. Myers' software business is not transaction-oriented, and there is no information that describes any instances of the software company having priority in securities transactions over Ironclad or its clients. Preservation of confidentiality of clients is relevant here if she passes on their information in her capacity as a partner in the software firm. Disclosure of conflict of interest to her employer may be applicable so that the employer can ascertain that clients of the software company are not getting preferential treatment.

(Module 42.3, LOS 42: II(A))

Question #7 - 10 of 39

Question ID: 1586472

As part of Ironclad's portfolio management activities on behalf of clients, Harrison and Myers maintain relationships with third party soft dollar providers and commission recapture brokers.

- Better Trading Brokerage ("Better Trading"), one of Ironclad's top ten brokers and soft dollar providers, has offered Harrison two round-trip airline tickets anywhere in the U.S. in appreciation for their two-year relationship with Ironclad.
- One of Harrison's clients, Worldwind Travel ("Worldwind"), who participates in commission recapture, has offered Harrison two round-trip airline tickets anywhere in the U.S. or Europe in appreciation for their two-year relationship with Ironclad.

Which of the following *best* describes Harrison's actions under the Code and Standards? Harrison:

A) cannot accept the offer from either Better Trading or Worldwind.

B) can accept the offer from Worldwind, but cannot accept the offer from Better Trading.

C) can accept the offer from both Better Trading and Worldwind.

Explanation

Subject to additional disclosure, Harrison can accept the offer from Worldwind, but cannot accept the offer from Better Trading. Harrison's actions are covered by Standard I(B)—Independence and Objectivity. Under Standard I(B), members shall use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. As such, Harrison's acceptance of the offer from Better Trading could be perceived to compromise his independence and objectivity on behalf of his clients, as the broker may be trying to influence Harrison to increase the amount of trading that Ironclad executes on behalf of clients. Since Better Trading is not a client of Ironclad, and its offer could negatively influence Harrison's actions on behalf of Ironclad's clients in violation of the Standard, the offer should be refused. The offer from Worldwind, who is one of Ironclad's clients, if accepted, does not cause Harrison to violate Standard I(B). Gifts from clients are distinguishable from gifts from third parties seeking to influence the activities of an investment manager. Worldwind's offer to Harrison may be accepted, provided it is disclosed to Ironclad in writing as additional compensation or benefits. Standard IV(B)—Additional Compensation Arrangements requires members to disclose in writing any additional compensation or other benefits received for their services in addition those provided by their employer. Harrison is obligated to disclose the offer and abide by any further requirements set forth by Ironclad prior to accepting the tickets.

(Module 42.3, LOS 42: II(A))

Question #8 - 10 of 39

Question ID: 1586473

Myers has disclosed her partnership interest in the software company to Harrison, including the potential for additional compensation and the possible conflicts of interest.

- One of Myers' software clients, Breakthrough Pharmaceuticals ("Breakthrough"), is a publicly-traded corporation that is also held in portfolios of Ironclad's clients. In the course of their business relationship, Breakthrough's chief executive officer (CEO) informs Myers that the company has been experiencing problems making retirement benefit payments, and its pension plan has recently gone from "overfunded" to "significantly underfunded" as a result of market conditions.
- Breakthrough's CEO indicates to Myers that he is attempting to source additional short-term financing to make retiree benefit payments and will disclose the significant "underfunded status" of the pension plan in the upcoming financial statements.
- Myers, concerned about Ironclad clients holding stock of Breakthrough given the impact on earnings from the current pension troubles and short-term liquidity issues, informs Harrison of the impending disclosure.
- Ironclad sells 1,800,000 shares of Breakthrough for clients, causing the price to drop $4 per share.
- Upon disclosure of the pension troubles, Breakthrough's stock dropped 18%.

According to Standard II—Integrity of Capital Markets, Myers has:

A) not violated the Standard by sharing information with Harrison because the information did not involve a tender offer.

B) violated the Standard.

C) not violated the Standard since the information shared with Harrison was used to fulfill Ironclad's fiduciary duty to avoid significant losses.

Explanation

Although the information shared by Myers may have helped Ironclad's clients avoid losses in shares of Breakthrough, the information was material nonpublic information. In this example, Myers' software company owes a duty of loyal and confidentiality to Breakthrough. Information is "material" if its disclosure would have an impact on the stock or if a reasonable investor would want to know the information prior to making an investment decision. Material is "nonpublic" until it has been generally disseminated to the marketplace and investors have had an opportunity to react to the information. The information about Breakthrough's pension difficulties was both material and nonpublic, as the stock dropped significantly upon disclosure of the information in the market. Therefore, Myers had a duty to keep the information confidential and not to trade, or cause others to trade, on the information.

(Module 42.3, LOS 42: II(A))

Question #9 - 10 of 39

Question ID: 1586474

Ironclad owns shares in several research and technology companies, including approximately 4% of the outstanding shares of Advanced DSL ("Advanced"), Internet Connections ("Internet"), and approximately 6% of the outstanding shares of Speedy Chip Technology ("Speedy Chip") and Wavelength Digital ("Wavelength").

- Harrison serves on the board of directors for Internet and Wavelength, while Myers provides consulting services for Speedy Chip. Harrison receives cash compensation and stock options for his services, while Myers receives restricted stock and stock options.
- The investment bank that led the public offering of Internet and Speedy Chip and seven of nine sell-side analysts covering the companies have "sell" ratings on the stocks. Ironclad's analysts have also issued "sell" recommendations on the companies due to lack of earnings transparency and quality of earnings, among other issues.
- Harrison increases his position in both Internet and Wavelength citing "growth opportunities" and "consensus opinion."

Which of the following Standards were *least likely* violated by Harrison and Myers?

A) Standard III(A)—Loyalty, Prudence, and Care.

B) Standard IV(B)—Additional Compensation Arrangements.

C) Standard II(A)—Material Nonpublic Information.

Explanation

Standard II(A)—Material Nonpublic Information is least likely to apply to both Harrison and Myers in this situation. Given Harrison's role on the boards of directors for Internet and Wavelength, he is in the position to potentially receive material nonpublic information; however, there are no facts presented that would infer that he either received or used material nonpublic information about Internet or Wavelength. Myers, as a benefits consultant for Speedy Chip, also may be in a position receive to material nonpublic information, but there are no facts presented that would infer Myers' receipt or use of material nonpublic information.

(Module 42.3, LOS 42: II(A))

Question #10 - 10 of 39

Question ID: 1586475

Harrison, as CIO, is chairman of Ironclad's proxy voting committee, while Myers is a voting member. Ironclad, as a discretionary investment manager, votes proxies on behalf of clients.

- Ironclad is currently reviewing proxies for several companies covered in research, including technology companies Advanced DSL ("Advanced"), Internet Connections ("Internet"), Speedy Chip Technology ("Speedy Chip") and Wavelength Digital ("Wavelength"), which have all presented the expensing of employee stock options for vote in their current proxies.
- Investment personnel of Ironclad recently participated in an industry forum in support of increased disclosure for company stock options, which Ironclad believes provides investors with a more accurate perspective of corporate earnings.
- Contrary to committee consensus, Harrison and Myers vote client proxies "against" the expensing of employee stock options for Internet, Wavelength and Speedy Chip.

All of the following describe Harrison's actions for compliance with the Code and Standards regarding proxy voting EXCEPT:

A) Harrison should discard all proxies on behalf of Ironclad’s clients when there is a conflict of interest.

B) Harrison should maintain the confidentiality of voting information on behalf of Ironclad’s clients.

C) Harrison should vote in accordance with Ironclad’s policy and coordinate major proxy issues across all client accounts.

Explanation

Proxy voting is a plan asset under ERISA and as such, is subject to the fiduciary duty obligations. Ironclad, as a discretionary investment manager, is responsible (unless otherwise stipulated in the client guidelines or agreement) for making informed and reasonable decisions regarding proxy voting on behalf of clients. Among other things, Ironclad should have a proxy voting policy and a process for identifying and reviewing major proxy issues for appropriate clients. Ironclad and Harrison also have an obligation to avoid conflicts of interest when voting proxies. Although Harrison has a conflict of interest in voting issues on behalf of Internet and Wavelength due to his role on their board of directors, proxies should not be discarded under any circumstances, as such action would constitute a breach of fiduciary duty. Harrison should abstain from voting on matters affecting Internet and Wavelength to avoid the appearance of a conflict of interest. Harrison should also ensure proper treatment of any confidential information received in his role on the respective boards of directors. Harrison should maintain confidentiality of voting information on behalf of clients and follow Ironclad's proxy voting policy, coordinating major proxy voting issues across all client accounts.

(Module 42.3, LOS 42: II(A))

Question #11 of 39

Question ID: 1586476

Klaus Gerber, CFA, is a regular contributor to the website WizeGuy. This past week Gerber has been incorrectly quoted as recommending that investors buy shares in Bradford, Inc. He is unaware that this message has been placed on the site as the quote was placed as a prank by an unknown source. This is the third time this has happened over the past month and each time the stock being mentioned moved in price according to the buy or sell recommendation.

Fritz Fox, CFA, maintains and updates the WizeGuy site and has learned how to determine if the quotes being attributed to Gerber are actually valid. Several days later, he observes an investment recommendation, posted on the site, to buy Gresham, Inc. The investment recommendation is purported to be from Gerber, but Fox actually knows it to be bogus. He immediately sells 1,000 Gresham short and e-mails Gerber to inform him of the bogus recommendation. Gerber immediately issues a rebuttal, and Gresham falls by 14%. Fox's action is:

A) not in violation of the Code and Standards. ✗

B) a violation of the Standard concerning use of material nonpublic information. ✓

C) a violation of the Standard concerning fiduciary duties. ✗

Explanation

Even though the information is false, this fact is known only to Fox and is thus nonpublic information. Since such recommendations have in the past had a significant effect on the price of the security in question, the information is clearly material. Fox is in violation of Standard II(A) Material Nonpublic Information.

(Module 42.3, LOS 42: II(A))

Question #12 of 39

Question ID: 1586466

A stockbroker who is a CFA Institute member is called on the telephone by the CEO of a large company. The CEO asks to buy shares of the CEO's company for the accounts of the CEO's children. In the course of the conversation, the CEO says this will really pay off when the upcoming takeover goes through. The stockbroker checks her sources and finds no information about the takeover. In this case the broker should:

A) do neither of the actions listed here. ✓

B) only execute the order in compliance with Standard III(A), Loyalty, Prudence, and Care. Since the client is buying the stock for the children, there is not a problem. ✗

C) execute the order for all clients as required by Standard III(B), Fair Dealing.

Explanation

Doing any of these actions would be a violation of Standard II(A), Material Nonpublic Information. Members and Candidates must not act or induce others to act on material nonpublic information.

(Module 42.3, LOS 42: II(A))

Question #13 of 39

Question ID: 1586454

Betsy Fox is an investment advisor who has a client, Don Gordon, who is an employment lawyer. At lunch, Fox noticed Gordon and the Chief Financial Officer of Blue Star Company at the next table. She overhears them talking and ascertains that Blue Star is about to announce higher than expected earnings. Before the earnings release, Gordon contacts Fox and asks her to purchase 3,000 shares for his portfolio. Fox:

A) must refuse to purchase shares for Gordon.

B) can purchase shares for Gordon, but cannot ever purchase shares for her personal account.

C) can only purchase shares for her personal account after informing all of her clients about the potential of the increase in earnings.

Explanation

According to Standard II(A), Material Nonpublic Information, Fox cannot act or cause others to act on material nonpublic information until the information is made public. The information overheard at lunch was material and nonpublic; therefore, Fox must wait until the information is made public before accepting Gordon's order.

(Module 42.3, LOS 42.b)

Question #14 of 39

Question ID: 1586462

Don Benjamin, CFA, is the compliance officer for a large brokerage firm. He wants to prevent the communication of material nonpublic information and other sensitive information from his firm's investment banking and corporate finance departments to its sales and research departments. The most common and widespread approach that Benjamin can use to prevent insider trading by employees is the:

A) legal list.

B) fire wall.

C) Wall Street Rule.

Explanation

To comply with Standard II(A), a fire wall provides an information barrier that prevents communication of material nonpublic information and other sensitive information from one department to another within a firm.

(Module 42.3, LOS 42: II(A))

Question #15 of 39

Question ID: 1586452

Jim Kent is an individual investment advisor in San Francisco with 300 clients. Kent uses open-ended mutual funds to implement his investment policy. For most of his clients, Kent has used the Baker fund, a small company growth fund based in Boston, for a portion of their portfolio. As a result he has become very friendly with Keith Dunston, the manager of the fund, whom Kent feels is mainly responsible for Baker's performance. One day Dunston calls Kent and tells him that he will be leaving the fund in four weeks and moving to San Francisco to work for a different money management company. Dunston is seeking suggestions on housing in the area. Baker has not yet announced Dunston's departure. Kent immediately finds a fund that is a suitable replacement for the Baker fund, and over the next two days he calls his 30 clients with the largest dollar investments in the funds and tells them he feels they should switch their holdings. Baker feels the remaining clients' positions are small enough to wait for their annual review to switch funds. Kent has:

A) violated the Standards by not dealing fairly with clients but has not violated the Standards regarding material nonpublic information.

B) violated the Standards by not dealing fairly with clients and regarding material nonpublic information.

C) violated the Standards regarding nonpublic information but has not violated the Standards in failing to deal fairly with clients.

Explanation

Kent must treat all clients fairly in acting on the information, regardless of the size of the investment. The information concerning the fund manager's departure is not material nonpublic information because its release would have no effect on individual stock prices within the fund and thus should not impact the fund's net asset value. (An open ended mutual fund's Net Asset Value will very closely track the value of the fund's underlying assets, because such a fund can be redeemed by investors at any time.)

(Module 42.3, LOS 42.b)

Question #16 of 39

Question ID: 1586467

The *mosaic theory* is the idea that an analyst can:

A) base his recommendations on nonpublic material information only for the clients of the company, but not for the general public.

B) make recommendations or trade based on several pieces of public or nonpublic information, each piece by itself being nonmaterial, but when compiled the information becomes material.

C) make investment recommendations on the basis of several pieces of nonpublic information as long as the aggregate information remains nonmaterial.

Explanation

The mosaic theory permits an analyst to make recommendations based upon several pieces of public or nonmaterial information, even though the complied result is both material and nonpublic.

(Module 42.3, LOS 42: II(A))

Question #17 of 39

Question ID: 1586461

The term "material" in the phrase "material nonpublic information" refers to information that is likely to affect significantly the market price of the issuing company's securities or that:

A) is likely to be considered important by reasonable investors in determining whether to trade a particular security.

B) is acquired by the financial analyst from a special or confidential relationship with the issuing company.

C) is derived by the financial analyst from direct communication with an issuing company's management.

Explanation

An item of information is material if its disclosure would be likely to have an impact on the price of a security, or if reasonable investors would want to know the information before investing.

(Module 42.3, LOS 42: II(A))

Question #18 of 39

Question ID: 1586451

Greg Allen is a security analyst and visits David Dawson, the Chief Financial Officer of Edmonds Company. Dawson reveals a great deal of nonmaterial financial data to Allen, data that Dawson routinely reveals to all security analysts who visit him. From this data and other industry information, Allen conjectures that Edmonds is likely to make a tender offer for another company in the industry, a fact that if true would be considered material to the value of the company. Allen:

A) can publish his conclusion in a research report.

B) should send a copy of the report to Dawson for verification before disseminating the report to clients.

C) must not disseminate the information or use it for trading purposes until the tender offer is announced.

Explanation

While the information that Allen received from the Edmonds CEO may be non-public, we are also told that it is non-material. Because Allen has reached his investment conclusion through an analysis of public information together with items of non-material non-public information (i.e., "mosaic theory"), publishing this conclusion is not a violation of the Code and Standards.

(Module 42.3, LOS 42.b)

Question #19 of 39

Question ID: 1586463

An analyst is allowed to trade on information that he has predicted, such as a corporate action or event, using perceptive assembly and analysis of public information and nonmaterial nonpublic information. This is called the:

A) deduction theory.

B) mosaic theory.

C) assessment theory.

Explanation

Based on the mosaic theory, a member or candidate may act on a combination of public information and nonmaterial nonpublic information, without violating Standard II(A) Material Nonpublic Information.

(Module 42.3, LOS 42: II(A))

Question #20 of 39

Question ID: 1586484

Mark Williamson is "bearish" on ABC Manufacturing Company. Williamson is so convinced that ABC is overpriced, two weeks ago, he shorted 100,000 shares. Today, Williamson is "surfing" several popular investment bulletin boards on the internet and posting false derogatory comments about company management. According to Standard II(B), Market Manipulation, Williamson has engaged in:

A) transaction-based manipulation, but not information-based manipulation.

B) both transaction-based manipulation and information-based manipulation.

C) information-based manipulation, but not transaction-based manipulation.

Explanation

Williamson is in violation of Standard II(B), Market Manipulation, by engaging in information-based manipulation. Information-based manipulation includes, but is not limited to, spreading false rumors about a firm in order to induce others to trade.

(Module 42.3, LOS 42: II(B))

Question #21 of 39

Question ID: 1586465

An analyst manages the assets of a charitable organization. Her supervisor tells her to buy a certain stock because the company's chief executive, who is also a board member in the organization, told her the company's earnings will exceed the market forecast when they are released next week. The analyst objects, but the supervisor says this is what they have always done and sees no reason for changing now. The analyst complies with the request. The analyst violated the Standard(s) concerning:

A) only loyalty.

B) only material nonpublic information.

C) both loyalty and material nonpublic information.

Explanation

Complying with the request is a violation of Standard II(A) Material Nonpublic Information which prohibits trading on insider information. Standard IV(A) Loyalty deals with issues such as independent practice, leaving an employer and continuing to act in the employer's best interest until their resignation becomes effective, and whistleblowing.

(Module 42.3, LOS 42: II(A))

Question #22 of 39

Question ID: 1586483

Steve Waters, a Level I CFA candidate, has decided to enter into a long position of Farmco stock. Since Farmco is thinly traded, Waters is concerned the order will overwhelm the liquidity of Farmco and the price will surge. Waters engages in a series of block trades in order to accomplish the purchase. According to Standard II(B), Market Manipulation, Waters has engaged in:

A) neither transaction-based manipulation nor information-based manipulation.

B) both transaction-based manipulation and information-based manipulation.

C) transaction-based manipulation, but not information-based manipulation.

Explanation

Waters is not in violation of Standard II(B), Market Manipulation. Transaction-based manipulation includes, but is not limited to, transactions that artificially distort prices or volume. Information-based manipulation includes, but is not limited to, spreading false rumors about a firm in order to induce others to trade.

(Module 42.3, LOS 42: II(B))

Question #23 of 39

Question ID: 1586456

Susan Nielsen, CFA, works for a rating agency which competes directly with S&P and Moody's. Her friend, Lance Parker, works for the same company but in a different department which is involved in advisory services for structured products. Nielsen frequently receives pressure from Parker to "put a positive face" on client ratings to help him sell advisory services. She is reluctant to discuss client ratings with Parker and tries to avoid the topic. She consults her company's compliance department and learns that there are no policies or procedures to discourage Nielsen and Parker from sharing information and is encouraged to consider his advice on company ratings. Nielsen should feel *least* obligated to:

A) advise regulators of the potential conflict of interest and seek legal counsel.

B) advise her firm to develop firewalls.

C) avoid talking with Parker about client ratings.

Explanation

Nielsen should advise her firm to develop firewalls and protections to allow the different departments to function independently. If Nielsen and Parker are going to remain friends, they should stop talking about client ratings.

(Module 42.3, LOS 42.b)

Question #24 of 39

Question ID: 1586479

While visiting the CSI Company, Mark Ramsey, CFA, overheard management make comments that were not public information, but were not really meaningful by themselves. However, when this information is combined with his own analysis and other outside sources, Ramsey decides to change his recommendation on CSI from buy to sell. According to CFA Institute Standards of Professional Conduct, Ramsey should:

A) not issue his report until these comments are made public.

B) report these events to his immediate supervisor and legal counsel, since they have become material in combination with his analysis.

C) issue his sell report because the facts are nonmaterial, but maintain a file of the facts and documents leading to this conclusion.

Explanation

The use of security analysis combined with nonmaterial nonpublic information to arrive at significant conclusions is legal and is called the mosaic theory.

(Module 42.3, LOS 42: II(A))

Question #25 of 39

Question ID: 1586453

In the course of reviewing the Corn Co., an analyst has received comments from management that, while not meaningful by themselves, when pieced together with data he has accumulated from outside sources, lead him to recommend placing Corn Co. on his firm's sell list. What should the analyst do?

A) Not issue the report until the comments are publicly announced.

B) Show his report to his own manager and counsel for their review since this information has become material once it was combined with his analysis.

C) The comments are non material and the report can be issued as long as he maintains a file of the facts as supplied by management.

Explanation

This is an example of the mosaic theory where separate pieces of nonmaterial information are pieced together to make an investment recommendation.

(Module 42.3, LOS 42.b)

Question #26 of 39

Question ID: 1586450

Dick Charles is a security analyst with a large brokerage company. Sean Donaldson is a money manager. They both listen in on a conference call for security analysts with the president of Stoppard, Inc., who states that in two days the company will be holding a press conference announcing a new product. Both Charles and Donaldson feel the news will increase the value of Stoppard.

A) Charles must wait until after the press conference to disseminate the information to clients, and Donaldson must wait until after the press conference to purchase the stock for his clients.

B) Charles must wait until after the press conference to disseminate the information to clients, but Donaldson can purchase the stock for his clients immediately.

C) Charles can disseminate the information to clients, and Donaldson can purchase the stock for his clients immediately.

Explanation

By waiting until after the press conference the information would then be considered public information and can then be disseminated to clients and traded on without there being any issues of insider trading.

(Module 42.3, LOS 42.b)

Question #27 of 39

Question ID: 1586457

Andrea Waters is an investment analyst who has accumulated and analyzed several pieces of nonpublic information through her contacts with drug firms. Although no one piece of the information she collected is "material," Waters correctly concluded that the earnings of one of the drug companies would be unexpectedly high in the coming year. According to CFA Institute Standards of Professional Conduct, Waters:

A) can use the information to make investment recommendations and decisions. ✓

B) may use the information, but only after approval from a compliance officer or supervisor. ✗

C) cannot legally invest or make recommendations based on this information. ✗

Explanation

Members who can piece together items of nonmaterial nonpublic information with public information can, based upon the mosaic theory, use such information for trading purposes.

(Module 42.3, LOS 42: II(A))

Question #28 of 39

Question ID: 1586481

Lee Roth, who is an investment advisor, is riding in a taxi and finds a file of information labeled "Genco Valuation." The folder contains a great deal of financial data, projections and nonpublic information concerning the food products industry that lead Roth to believe that Genco will be worth 50% more than its current stock value. Roth also finds some correspondence that leads him to believe that the file belonged to Tom Hagan. Roth tries to find out where Hagan works so he can return the file. Roth can recommend Genco to his clients unless Hagan works for:

A) the equity research department for a brokerage firm. ✗

B) the corporate finance department for Genco. ✗

C) Roth cannot recommend Genco to his clients at this time.

Explanation

The information is material and nonpublic; therefore, Roth cannot act or cause others to act at this time.

(Module 42.3, LOS 42: II(A))

Christopher Lance, CFA, Chuck Cunningham, and Lucy Hunt, CFA, went to graduate school together and have remained close friends ever since. Lance and Hunt earned their CFA charters this past June and Cunningham is a Level III candidate. Lance, Cunningham, and Hunt have dinner every month at Cunningham's country club, one of the most prestigious in the metropolitan area where they live.

Lance was a well-respected research analyst covering the pharmaceutical industry at an international broker-dealer before accepting a job as Vice President, Investor Relations, at IMed, a large multinational pharmaceutical company that he covered as an analyst. Since he started coverage of IMed, Lance had consistently been named "top analyst" of the pharmaceutical industry by *Investment Professional*, the leading journal of the investment industry.

In his new position at IMed, Lance is the principal spokesperson on the company's financial performance and is responsible for developing and maintaining good relationships with the company's shareholders, especially large institutional investors, and with approximately 30 research analysts who issue research reports and make recommendations about publicly-traded equity and debt securities. It is April 12th and Lance is preparing to conduct the next conference call following the release on April 15th of IMed's quarterly earnings. Participating in the call will be Lance's former colleague and good friend, Cunningham, and the other analysts who cover IMed. In addition, Hunt, a portfolio manager at Primary Pensions, a major institutional investor, has told Lance she will also be on the call. Primary Pensions has accumulated the largest single holding in IMed equity.

Lance is concerned about this call because IMed's president, Bill Norton, has just told the management team that sales of Mediplex, its new cancer drug, have begun to sag after rumors of serious side effects, including death, have hit the press. Norton told Lance that if sales continue to fall that this year's earnings would be considerably less than the current consensus forecast. Norton is also concerned that the regulatory agency that approves the sale of drugs will repeal IMed's license to market Mediplex.

Cunningham is a research analyst at Lance's former employer and has taken over coverage of IMed following Lance's resignation. Until his promotion to Lance's former position, Cunningham was a junior analyst covering the oil and gas industry. Although knowledgeable about fundamental financial analysis and equity valuation, he is unfamiliar with IMed and the pharmaceutical industry. Cunningham has been reviewing the past 5 years of IMed's financial statements and Lance's research reports in preparation for participating in IMed's quarterly conference call to discuss its quarterly earnings release. Cunningham is under considerable pressure from his employer to meet or exceed Lance's reputation and be rated "top analyst" by *Investment Professional*. His firm's currently rates IMed as a "strong buy" based on Lance's last research report. Based on his own preliminary analysis, Cunningham has a hard time justifying a "hold" recommendation. He is puzzled by several of the earnings adjustments that Lance made to achieve his target share price for IMed. He plans to ask Lance about these adjustments at their dinner on April 14th.

Hunt has been managing a large cap equity portfolio at Primary Pensions for 5 years. Based almost exclusively on Lance's buy recommendations in his research report, she began purchasing IMed several years ago just before it made several major acquisitions that contributed to its phenomenal growth and to her portfolio's performance over the last 5 years. Since Lance moved to IMed, Hunt has been doing some due diligence and has become concerned that the growth of IMed's earnings is overly dependent on sales of Mediplex. Based on her enthusiasm for IMed and her portfolio's performance, other managers at Primary Pensions have also taken considerable positions in IMed to the extent that Primary Pensions is IMed's largest single stockholder. If she is right, Hunt knows that she will need to reduce her portfolio's holdings. Since Primary Pensions prohibits its employees from owning individual equity securities, Hunt has no personal investment in IMed. However, she had boasted about IMed's performance to her mother and is aware that her mother's investment club invested 10 percent of the club's assets in IMed. Hunt is preparing her questions for the upcoming conference call and her exit strategy if the answers confirm her fears.

Lance, Cunningham, and Hunt met for their regular monthly dinner on April 14th. Cunningham opens the after dinner discussion by questioning Lance about his new job and asks him if he and Hunt should anticipate any surprises at tomorrow's conference call. Cunningham specifically asks Lance if IMed will meet or beat analyst expectations and the consensus earnings forecast. Lance responds that, under current securities laws, he is unable to discuss details of IMed's performance with Cunningham and Hunt and that they'll both be briefed with the other analysts and shareholders on tomorrow's call. Shortly thereafter, the three friends say their good-byes. Hunt and Cunningham wish Lance well on the next day's conference call.

Question #29 - 32 of 39

Question ID: 1586446

What Standard governs Lance's response to Cunningham's question and is he in compliance?

	Standard	Compliance
A)	VII: Responsibilities as a CFA Institute Member or CFA Candidate	Yes
B)	I: Professionalism	Yes
C)	III: Duties to Clients	No

Explanation

Lance's response to Cunningham's question is covered under Standard I(A) which requires members to maintain knowledge of and comply with applicable laws and regulations (including the CFA Institute's Code of Ethics and Standards of Professional Conduct). In this case, Lance specifically references the requirements of securities laws not to discuss IMed's performance in advance of the quarterly conference call. If he had done so, he would have disclosed material nonpublic information, since he knows that information about the decline in sales of Mediplex will have an adverse effect on IMed's share price. In addition, Standard I(A) prohibits Lance from knowingly participating or assisting in any violation of such laws. If Lance had responded in any other way to Cunningham's question he would potentially have assisted Cunningham and Hunt in violating Standard II(A), Material Nonpublic Information.

(Module 42.1, LOS 42.a)

Question #30 - 32 of 39

Question ID: 1586447

If Lance had disclosed material that was nonpublic information about the decline of sales of Mediplex and its effect on IMed's earnings, Cunningham would have been *least likely* to be obligated to do which of the following?

A) Make reasonable efforts to achieve public dissemination of material nonpublic information disclosed in a breach of duty.

B) Inform the appropriate regulatory authority that Lance had violated securities laws.

C) Not trade in shares of IMed.

Explanation

Unless required by law, the Code of Ethics and Standards of Professional Conduct do not require members to report legal violations to the appropriate governmental or regulatory authority. Such disclosure may be prudent in certain circumstances. Cunningham would be prohibited under Standard II(A), Material Nonpublic Information, from trading in the securities of IMed or causing others to trade by issuing a research report incorporating the material nonpublic information before that information is made public by IMed. Cunningham would also be required to make reasonable efforts to have Lance and IMed make public disclosure of the information.

(Module 42.3, LOS 42.a)

Question #31 - 32 of 39

Question ID: 1586448

Dinners with Lance, Cunningham and Hunt at Cunningham's exclusive country club usually cost more than $200 per person. When he and Lance worked for the same broker-dealer and Hunt was a client, Cunningham has always paid the bill.

Which Standard will Lance violate if he continues to allow Cunningham to pay for dinner?

A) Standard I(B), Independence and Objectivity.

B) Standard IV(B), Additional Compensation Arrangements.

C) Standard III(B), Fair Dealing.

Explanation

Over the course of a year, Lance will have received gifts of more $2400 from Cunningham. Standard I(B), Independence and Objectivity, covers receipt of gifts from external parties that may try to influence members' professional actions to the possible detriment of Lance's employer, IMed, and the investing public. Even though Lance and Cunningham are long-time friends and former colleagues at Cunningham's employer, the potential for undue influence exists. Lance should be particularly concerned given Cunningham's inappropriate question regarding IMed's earnings. In determining how best to comply with Standard I(B), Lance should no longer permit Cunningham to pay for his dinner and, given the prestigious nature of the country club, should also consider moving the monthly dinner to a different venue to avoid the appearance of impropriety.

(Module 42.1, LOS 42.a)

Question #32 - 32 of 39

Question ID: 1586449

Lance is very nervous before the conference call. Norton, IMed's president, has told him that he must not disclose the decline in sales of Mediplex.

During the call, Hunt asks Lance whether the rumors of the side effects of Mediplex are true and whether these rumors have negatively impacted sales. Lance assures Hunt that Mediplex sales are strong and that IMed is confident that sales will continue to rise for the remainder of the year.

Which of the following *best* describes Lance's actions when he stated that sales of Mediplex were strong?

A) Lance complied with Standard IV(A), Loyalty to Employer. ✗

B) Lance violated Standard I(D), Misconduct. ✓

C) Lance violated Standard III(B), Fair Dealing. ✗

Explanation

Lance violated Standards I(D), Misconduct, when he lied about the sales of Mediplex. Under Standard I(D), members are prohibited from engaging in any professional conduct involving dishonesty, fraud, deceit, or misrepresentation or commit any act that reflects adversely on their dishonesty, trustworthiness, or professional misconduct. Neither Standard IV(A), Loyalty to Employer, which relates to independent practice that could result in compensation or other benefit in competition with their employer and does not relate in this situation nor Standard III(B), Fair Dealing, which relates to dealing fairly and objectively when making recommendations to clients, are relevant or apply to this situation. Lance is also **NOT** in compliance with Standard I, Professionalism, because he violated Standard I(D), Misconduct.

(Module 42.2, LOS 42.a)

Question #33 of 39

Question ID: 1586482

Lynne Jennings is a chemical industry research analyst for a large brokerage company. That industry is currently seeing an increase in mergers and acquisitions. While flying through Chicago, Jennings sees several senior officers who she knows are from the largest and fourth largest chemical companies walk into a conference room. She concludes that negotiations for an acquisition might be taking place. Jennings:

A) may use this information to support an investment recommendation. ✓

B) should inform her compliance officer that she has material nonpublic information on firms she covers.

C) may not act or cause others to act on this information.

Explanation

The fact that the company officers met is not material nonpublic information. As long as she bases her investment recommendation on her own independent research, Jennings will not violate any Standards if she uses this additional information to support it.

(Module 42.3, LOS 42: II(A))

Question #34 of 39

Question ID: 1586480

Paul Clark, CFA, has just learned from a financial analyst at Corvac Industries that orders for their core products are running ahead of last year's orders by 15%, information that has not been publicly disclosed by the company. Clark currently has a hold rating on Corvac based on his expectation of a 5% increase in revenues for the current year. Based on Standard II(A) Material Non-public Information, Clark's *most appropriate* course of action is to:

A) encourage Corvac to publicly release the order information and not act on that information until it is publicly disclosed.

B) disclose the information publicly prior to making any changes in his recommendation.

C) put Corvac on his firm's restricted list and not make a recommendation until the increase in orders is publicly disclosed.

Explanation

The Standard recommends that an analyst who possesses material non-public information encourage the company to release the information publicly. The Standards prohibit Clark from acting on the information until it is publicly disclosed. Since the information is only known by Clark, putting it on a restricted list is not necessary. Public disclosure of material non-public information by an analyst would likely be considered a violation of the Standard.

(Module 42.3, LOS 42: II(A))

Question #35 of 39

Question ID: 1586468

A CFO who is a CFA Institute member is careful to make his press releases—some of them containing material and previously undisclosed information—clear and understandable to his readers. While writing a new release, he often has his current intern proofread rough drafts. He also sends electronic copies to his brother, an English teacher, to get suggestions concerning style and grammar. With respect to Standard II(A), Material Nonpublic Information, the CFO is:

A) violating the standard by either showing the pre-release version to his intern or sending it to his brother.

B) only in violation by e-mailing the pre-release version to his brother but not the intern, because the intern is in essence an employee of the firm.

C) not in violation of the Standard.

Explanation

Standard II(A), Material Nonpublic Information, says that a member must be careful about handling material non-public information. As a member of CFA Institute, the CFO must limit the people who see important information before it is released. It would not be appropriate to involve an intern or a relative in the process.

(Module 42.3, LOS 42: II(A))

Question #36 of 39

Question ID: 1586477

Regarding non-public information, which one of the following statements is NOT correct?

A) A member can be summarily suspended for having received material non-public information.

B) An analyst may use some types of non-public information.

C) Disclosing material non-public information would have an impact on the price of a security or be of interest to a reasonable investor.

Explanation

All of these are true except that a member can be suspended for having received material non-public information. The member can receive such information as part of their regular duties or by accident. Neither is punishable in and of itself, and penalties only apply if the member trades or causes others to trade on the information. The member may have certain duties, such as trying to disseminate the information after receiving it. An analyst may use *nonmaterial* non-public information.

(Module 42.3, LOS 42: II(A))

Question #37 of 39

Question ID: 1586478

A brokerage firm has a trading department and an investment-banking department. Often the investment-banking department receives material non-public information that would be valuable in advising the firm's brokerage clients. In order to comply with the Standards, the firm:

A) should restrict employee trading in securities for which the firm is in possession of material non-public information. ✓

B) should record the exchange of information between the investment-banking department and the brokerage department. ✗

C) must divest one of the departments. ✗

Explanation

Restricting employee trading in stocks for which the firm has material non-public information is the best answer. Recording the exchange of information between the two departments is not the best option because there should be no exchange of information between these two departments. Divesting a department is not a suitable method for addressing this potential problem.

(Module 42.3, LOS 42: II(A))

Question #38 of 39

Question ID: 1586459

Which one of the following *least* accurately describes the CFA Institute Standard about using material nonpublic information?

A) An analyst may violate this Standard by passing information to others even when it has been obtained from outside the company. ✗

B) An analyst may use nonmaterial nonpublic information as long as it has been developed under the Mosaic Theory. ✗

C) An analyst using material nonpublic information may be fined by CFA Institute. ✓

Explanation

There is no provision for CFA Institute to issue fines to members. Members may not use material nonpublic information for trading purposes. Nonmaterial, nonpublic information may be used together with analysis of public information under the Mosaic Theory.

(Module 42.3, LOS 42: II(A))

Question #39 of 39

Question ID: 1586464

A stockbroker who is a member of CFA Institute has a part-time housekeeper who also works for the CEO of Festival, Inc. One day the housekeeper mentions to the broker that she saw the CEO of Festival having a conversation at his home with John Tater, who is a nationally known corporate lawyer and consultant. The stockbroker is restricted from trading on this information:

A) for both of the reasons listed here.

B) if the housekeeper says the meeting concerned a tender offer and the broker knows that it is non-public information.

C) only if the broker knows that the meeting is non-public information.

Explanation

Standard II(A), Material Nonpublic Information, states "a member cannot trade or cause others to trade in a security while the member possesses material nonpublic information" A tender offer would certainly be material nonpublic information. Knowing that the meeting took place, and nothing else, does not restrict the broker. A reasonable investor would need to know more to determine if the information was material.

(Module 42.3, LOS 42: II(A))